

Stereo. H C J D A-38.
JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

W.P. No.48930 of 2023

Ghulam Abbas
Versus
The Chairman National Highway Authority (NHA), Islamabad & others

J U D G M E N T

Date of hearing: 26.02.2026.
Petitioners by: Ch. Imran Arshad Naro, Advocate.
Respondents by: Mr. Haris Azmat, Advocate.
Mr. Muhammad Saad Bin Ghazi, Assistant Advocate General along with Muhammad Mohsin Iqbal, Land Acquisition Collector / Assistant Commissioner.
Mr. Muhammad Zain Qazi, Assistant Attorney General.

MUHAMMAD SAJID MEHMOOD SETHI, J.: This consolidated judgment shall decide the instant petition as well as connected **W.P.No.53188 of 2023**, since common questions of law and fact arise in these cases.

2. Through instant petition, petitioner has called into question the letter dated 07.06.2023, issued by the Land Acquisition Collector (“LAC”) / respondent No.4 and letter dated 03.06.2023, issued by the District Price Assessment Committee (“DPAC”), regarding price assessment of the land acquired for Kot Sarwar Interchange. Petitioner has also assailed Notifications dated 10.07.2025 & 02.10.2025, Notices dated 11.10.2025 and the Award dated 15.11.2025, seeking directions for respondents to assess price of the acquired land according to the prevalent market and potential value, with 8% compound interest from the Notification dated 11.10.2004 issued under Section 4 of the Land Acquisition Act, 1894 (“Act of 1894”), along with compulsory acquisition

allowance and simple interest of 9% for the delay in disbursement of compensation.

In connected **W.P.No.53188 of 2023**, the petitioners have similarly challenged the Notification dated 16.09.2004, issued under Section 4 of the Act of 1894, and all subsequent proceedings pursuant thereto, including price assessment reflected in the letter dated 07.06.2023, seeking reassessment on similar terms.

3. Learned counsel for the petitioners contends that the entire acquisition and price assessment process undertaken by the respondents is illegal, arbitrary, and contrary to the mandatory provisions of the Act of 1894, as well as Articles 4, 23, and 24 of the Constitution of the Islamic Republic of Pakistan, 1973. He submits that land measuring 97 Kanals and 17 Marlas was acquired in 2004, and possession thereof has since remained with the beneficiary agency. However, in 2023, the respondents unlawfully reduced the acquired area to 37 Kanals and 08 Marlas and sought to deposit compensation only for the reduced portion, in direct negation of the original notification and the admitted record. He further submits that the DPAC, which had earlier approved the rate at Rs.15,000/- per Marla in 2016, drastically reduced the same to Rs.1,000/- per Marla in its revised meeting dated 02.06.2023 without associating or affording an opportunity of hearing to the landowners, thereby violating the doctrine of *audi alteram partem*. He contends that at the time of the announcement of the award, the prevailing per marla market value of the land was approximately Rs. 241,000/-, and, accordingly, the petitioners are, at a minimum, entitled to receive compensation calculated at that rate. He further contends that the mandatory steps envisaged under Sections 5-A and 6 were never lawfully completed following the issuance of the Section 4 notification, rendering the subsequent proceedings void ab initio. He maintains that the petitioners are consequently entitled to compensation strictly in terms of Section 23 of the Act of 1894,

including market value, potential value, compulsory acquisition allowance, and lawful mark-up for the delay of nearly nineteen years. He has placed reliance upon The Murree Brewery Co. Ltd. v. Pakistan through the Secretary to Government of Pakistan, Works Division and 2 others (PLD 1972 Supreme Court 279), Mst. Amina Begum and others v. Mehar Ghulam Dastagir (PLD 1978 Supreme Court 220), Province of Singh through Collector of District Dadu and others v. Ramzan and others (PLD 2004 Supreme Court 512), Muhammad Shehzad Malik v. Muhammad Suhail and another (2010 SCMR 1825), Mehrab Khan through Attorney v. Province of Sindh through Secretary, Irrigation and Power Department, Government of Sindh and 5 others (2005 CLC 441), Messrs FACTO Belarus Tractors Limited Karachi and another v. Federation of Pakistan through Secretary, Ministry of Industries, Production and Special Initiatives Islamabad and others (PLD 2006 Karachi 479), Amir Aftab Hussain v. Land Acquisition Collector, Punjab Provincial Highway Department, Rawalpindi and 4 others (PLD 2012 Lahore 440), Ms. Sadaf Munir Khan v. Chairman, Reconciliation Committee and 2 others (PLD 2019 Lahore 285) and Zafar Iqbal v. Assistant Commissioner Chunnian, District Kasur and 5 others (2022 CLC 1805).

4. On the other hand, the learned Law Officer, assisted by learned counsel for the respondents, contends that the petition is misconceived and not maintainable. He submits that all proceedings have been undertaken strictly in accordance with the provisions of the Act of 1894 and the relevant rules framed thereunder. He adds that the Section 4 notification was validly issued and that the DPAC duly conducted the price assessment of the acquired land. However, subsequent objections raised by the National Highway Authority (“NHA”) regarding the assessed rates were considered, whereafter reassessment was carried out by the Deputy Commissioner and the Land Acquisition Collector to ensure transparency and safeguard

public funds. He further contends that the NHA has deposited the requisite funds with the Land Acquisition Collector and that the acquisition process is being completed strictly in accordance with law. He argues that the issues raised by the petitioners concerning measurement, area, and rates are technical in nature and cannot be adjudicated in writ jurisdiction, particularly when alternate statutory remedies are available under the Act of 1894. He has placed reliance upon Habib Ullah v. Land Acquisition Collector and others (2005 SCMR 1320), Pir Ishfaq Ahmed v. Deputy Commissioner / Land Acquisition Collector, Charsadda and another (2018 CLC 449) and Rana Zahid Habib and 5 others v. Government of the Punjab and 3 others (2019 CLC 654).

5. Arguments heard. Available record perused.

6. The undisputed position that emerges is that nearly two decades elapsed between issuance of notification under Section 4 and culmination of proceedings through announcement of the award. Such extraordinary delay reflects patent inaction and abdication of statutory responsibility. Acquisition proceedings, though undertaken for public purpose, must conform to standards of fairness, expedition and certainty. The power of eminent domain, being an extraordinary power to divest a citizen of property, is conditioned upon strict compliance with law and completion of proceedings within a reasonable time. Prolonged uncertainty not only erodes public confidence but also materially prejudices landowners, as the value and potential of land escalate with the passage of time. Reference can be made to Government of Pakistan, Secretaries, Works, Communications and Physical Planning v. Tauqir Ahmed Khan and others (1996 SCMR 968), Messrs Mehraj Flour Mills and others v. Provincial Government and others (2001 SCMR 1806), Commissioner, Rawalpindi / Province of the Punjab and others v. Naseer Ahmed and others (2024 SCMR 1037), Province of Punjab through District Collector / District

Officer (Rev), Lahore and others v. Malik Abdul Latif Amar (2025 SCMR 830), Divisional Engineer (Dev.) N-II T&T, Gujranwala and 3 others v. Rana Muhammad Sharif (2002 CLC 985), Mian Tariq Maqsood and others v. Province of Punjab and another (2017 CLC 389), Qasim Ali and 2 others v. Province of Punjab through Secretary, Irrigation Department, Lahore and 4 others (2021 YLR 1261), Shahid Mehmood and others v. District Collector/Land Acquisition Collector and others (2023 MLD 1210) and Abdul Ghafoor Ahmad and others v. Gujranwala Electric Power Company and others (2025 MLD 1526).

7. The jurisprudential foundation of compensation under the Act of 1894 rests upon the doctrine of *restitutio in integrum*, meaning thereby to place the dispossessed owner, as nearly as possible, in the same pecuniary position in which he would have stood had the property not been acquired. Section 23 embodies this principle by mandating the determination of market value at the relevant time, together with due consideration of its potential value and statutory additions. Where the State retains possession for years while deferring final determination or payment, the denial of appropriate enhancement or mark-up would amount to unjust enrichment at the expense of the citizen. Reliance is placed upon Land Acquisition Collector, G.S.C., N.T.D.C., (WAPDA), Lahore and another v. Mst. Surraya Mehmood Jan (2015 SCMR 28), Government of Pakistan through Military Estate Officer, Abbottabad and another v. Ghulam Murtaza and others (2016 SCMR 1141), Federal Government of Pakistan through Ministry of Defence Rawalpindi and others v. Mst. Zakia Begum and others (PLD 2023 Supreme Court 277), Malik Muhammad Ijaz v. Pakistan through Secretary Defense Islamabad and others (2018 CLC 1445) and Pervaiz Akhtar and others v. Land Acquisition Collector and others (PLD 2022 Lahore 730).

8. Equally significant is the requirement of adherence to the principles of natural justice. The doctrine of *audi alteram partem* is not an empty formality; rather, it constitutes an integral component of due process as guaranteed under Articles 4 and 10-A of the Constitution. Any downward revision of rates, particularly where earlier assessments had attained approval, directly impinges upon proprietary rights and, therefore, necessitates meaningful notice and a fair opportunity of representation. The record reflects that the DPAC revised the rates without associating the petitioners in the process. Such action vitiates the decision-making process, irrespective of the ultimate merits of the rates so fixed. Reference can be made to Nisar Ahmad Sabri v. Member (Revenue), Board of Revenue, Punjab, Lahore and 5 others (2003 YLR 861) and Muhammad Hanif Khan v. Province of Sindh through Secretary, Land Utilization Department, Karachi and 8 others (PLD 2006 Karachi 531).

9. The petitioners have placed on record various mutations, *parcha khatoonis*, and the schedule of DC/FBR rates, which prima facie reflect that both the prevailing market value and the notified DC/FBR rates are substantially higher than the price re-assessed by the DPAC. In view of the foregoing, the petitioners are entitled to compensation determined on the basis of the fair market value of the land, along with its potential value, compulsory acquisition allowance, compound interest from the date of the Section 4 Notification, and simple interest for any delay in disbursement. The exact computation shall be undertaken by the Land Acquisition Collector in accordance with Section 23 of the Act of 1894, keeping in view the prevailing market indicators and the potential value of the acquired land.

10. Furthermore, the unexplained reduction in the quantum of the acquired land, despite prior notifications and possession having been taken, raises serious legal concerns. Once land is duly notified

and possession assumed for a public purpose, the State cannot arbitrarily resile from its own record to the detriment of the landowners, unless such rectification is demonstrably supported by lawful proceedings and transparent measurement duly communicated to the affected parties. The material placed on record, including mutations, revenue extracts, and DC/FBR rate schedules, prima facie demonstrates that the reassessed rate does not correspond with the prevailing market conditions. The petitioners are, therefore, entitled to reassessment strictly in accordance with Section 23 of the Act of 1894, taking into consideration the fair market value, its potential value, compulsory acquisition allowance, and lawful interest for delayed disbursement. The precise computation shall be undertaken by the Land Acquisition Collector on the basis of relevant and contemporaneous material. Reference is made to Land Acquisition Collector and others v. Mst. Iqbal Begum and others (PLD 2010 Supreme Court 719), Federal Government of Pakistan through Ministry of Defence Rawalpindi and others v. Mst. Zakia Begum and others (2023 SCMR 2092), Government of Pakistan through Secretary, Ministry of Defence, Rawalpindi Military Estates Officer, Hazara Circle, Abbottabad and another v. Mst. Ayesha Bibi (Widow) and others (2024 SCMR 1323), National Highway Authority and others v. Syed Altaf Hussain Shah (deceased) through L.Rs. and 8 others (2025 YLR 129), National Highway Authority through Chairman and another v. Jaffar Ali Shah and another (2025 YLR 1367) and The Province of Punjab through Land Acquisition Collector District, Lahore and 2 others v. Tariq Javaid Raja (2025 MLD 1748).

11. While ordinarily disputed questions relating to the quantum of compensation are relegated to the statutory remedies provided under the law, constitutional jurisdiction may be invoked where the decision-making process itself is shown to be tainted by illegality,

violation of mandatory provisions, or denial of due process. In the present case, the cumulative effect of inordinate delay, unilateral revision of rates without affording an opportunity of hearing, and apparent inconsistency in measurement renders the impugned price fixation legally unsustainable. Reference is made to National Highway Authority through Ghulam Mujtaba, G.M, Lahore v. Mazhar Siddique and others (2023 SCMR 493), Nisar Ahmad Sabri v. Member (Revenue), Board Of Revenue, Punjab, Lahore and 5 others (2003 YLR 861) and Amir Aftab Hussain v. Land Acquisition Collector, Punjab Provincial Highway Department, Rawalpindi and 4 others (PLD 2012 Lahore 440).

12. In view of the foregoing, these petitions are **allowed** to the extent that the fixation of the price of the petitioners' acquired land is declared to be illegal and without lawful authority. The Land Acquisition Collector is directed to re-determine the compensation strictly in accordance with law, keeping in view the prevailing DC and FBR rates, and to announce a fresh award accordingly within a period of ninety days from the date of receipt of a certified copy of this judgment. Compliance shall be reported to this Court through the Deputy Registrar (Judicial).

(Muhammad Sajid Mehmood Sethi)
Judge

APPROVED FOR REPORTING

Judge

Sultan